

MeritQuant — Autonomous Trade Report

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Market Assessment

Macro regime is clearly RISK-ON: VIX calm at 17.2, yield curve positive at +0.29%, and HY credit spreads extremely tight. This is a supportive environment for adding quality long positions, particularly in the structurally strong semiconductor and cloud complex riding the AI capex cycle.

REGIME: RISK-ON

Macro Snapshot

Indicator	Value	Indicator	Value
VIX	17.17	US Dollar (DXY)	100.63
Yield Curve 10Y-2Y	0.29	HY Credit (bps)	2.71
10Y Treasury (%)	4.43	Fed Funds Rate (%)	3.63

Trade Decisions

ENTER — CLOU

\$18,000 | Conviction 7/10 | Tier 1

Thesis: Highest scanner conviction (7.0) with a clear cloud capex tailwind confirmed by Google's earnings beat. Diversified cloud ETF reduces single-name risk while capturing the secular hyperscaler spend cycle.

Catalyst: Google earnings beat signaling accelerating cloud capex boom flowing into free cash flow across cloud infrastructure names.

Technical Setup: RSI 39.6 — not overbought, leaving room to run; constructive mean-reversion entry rather than chasing extended momentum.

Risk Factors: Cloud capex could compress near-term FCF; broad tech multiple compression if rates back up. 8% stop / 20% TP enforced.

ENTER — AVGO

\$18,000 | Conviction 7/10 | Tier 1

Thesis: Record revenue with strong AI networking/custom silicon franchise and balanced RSI offers entry without chasing. Buffett-style: durable moat, strong cash generation, dominant in AI connectivity.

Catalyst: Q4 2025 earnings call highlighting record revenue and AI-driven backlog growth.

Technical Setup: RSI 50.7 — neutral and healthiest among semis, no overbought condition, room for continuation.

Risk Factors: Rich valuation; AI capex digestion risk. Stop loss at 8%.

ENTER — ARKX

\$16,000 | Conviction 6/10 | Tier 2

Thesis: Provides non-semiconductor diversification (space/aerospace innovation) while still RISK-ON aligned.

Outperforming JETS with higher returns and an oversold-neutral RSI gives an attractive non-correlated tilt.

Catalyst: Relative outperformance vs. JETS and broad innovation/aerospace momentum.

Technical Setup: RSI 46.9 — neutral, not extended, supports a measured entry.

Risk Factors: Higher-beta thematic ETF, less earnings-anchored; vulnerable in any volatility spike. Tight stop discipline applies.

ENTER — TSM

\$18,000 | Conviction 6/10 | Tier 1

Thesis: Foundry monopoly with pristine balance sheet and the most direct, durable beneficiary of AI silicon demand. Earnings beat confirms the fundamental thesis with reasonable valuation versus peers.

Catalyst: TSMC earnings beat reinforcing strong AI-driven foundry demand.

Technical Setup: RSI 60.1 — moderately strong but not overbought, MA alignment positive in uptrend.

Risk Factors: Geopolitical Taiwan risk; AI bubble narrative could pressure sentiment. 8% stop enforced.

Portfolio Snapshot

Total: \$183,000 | Cash: \$113,000 | Positions: 4/6

Ticker	Shares	Entry	Current	Value	P&L \$	P&L %
CLOU	839.0	\$21.45	\$21.45	\$18,000	\$+0	+0.0%
AVGO	44.1	\$408.61	\$408.61	\$18,000	\$+0	+0.0%
ARKX	470.7	\$33.99	\$33.99	\$16,000	\$+0	+0.0%
TSM	40.1	\$449.32	\$449.32	\$18,000	\$+0	+0.0%

Notes: Deployed ~\$70K across 4 of 6 slots, leaving ~\$113K cash dry powder for technical pullbacks and risk management. Deliberately avoided AMAT (RSI 77.6), LRCX (70.3), KLAC (69.4) — overbought conditions violate the no-chasing rule despite strong scores. Limited semiconductor concentration by spreading across diversified ETF (CLOU), networking (AVGO), foundry (TSM), and a thematic diversifier (ARKX) rather than stacking redundant semi-cap-equipment names.

Memory applied: No prior trade history exists, so framework discipline drives decisions: prioritized highest-conviction signal (CLOU), refused to chase overbought RSI>70 names, and favored neutral-to-oversold RSI entries to avoid momentum-chasing as the framework explicitly warns against.